

Presentation ↴

962 Plan Accounting—Defined Contribution Pension Plans

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205 Presentation of Financial Statements

00 Status

i General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

962-205-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Benefits	Amended	Accounting Standards Update No. 2016-19	12/14/2016
	Benefits (3rd def.)	Added	Accounting Standards Update No. 2014-06	03/14/2014
	Defined Contribution Plan	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	Sponsor (3rd def.)	Added	Accounting Standards Update No. 2014-06	03/14/2014
	962-205-45-2	Amended	Accounting Standards Update No. 2015-12 (Part I)	07/31/2015
	962-205-45-3	Superseded	Accounting Standards Update No. 2015-12 (Part I)	07/31/2015
	962-205-45-3	Amended	Accounting Standards Update No. 2012-04	10/01/2012
	962-205-45-4	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	962-205-45-5	Superseded	Accounting Standards Update No. 2018-09	07/16/2018

962-205-45-7	Amended	Maintenance Update 2016-11 	06/27/2016
962-205-45-7	Amended	Accounting Standards Update No. 2015-12 (Part II)	07/31/2015
962-205-45-7	Amended	Accounting Standards Update No. 2014-06	03/14/2014
962-205-45-7	Amended	Accounting Standards Update No. 2012-04	10/01/2012
962-205-45-10	Added	Accounting Standards Update No. 2017-06	02/27/2017
962-205-50-1	Amended	Maintenance Update 2016-11 	06/27/2016

05 Overview and Background

 **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

962-205-05-1 This Subtopic provides guidance on the presentation of financial statements of defined contribution pension plans.

15 Scope and Scope Exceptions

 **General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

962-205-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 962-10-15.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Benefits

The monetary or in-kind benefits or benefit coverage to which participants may be entitled under a pension plan or a health and welfare plan (which can include active, terminated, and retired employees or their dependents or beneficiaries). Examples of benefits may include, but are not limited to, health care benefits, life insurance, legal, educational, and advisory services, pension benefits, disability benefits, death benefits, and benefits due to termination of employment.

Defined Contribution Plan

A plan that provides an individual account for each participant and provides benefits that are based on all of the following: amounts contributed to the participant's account by the employer or employee; investment experience; and any forfeitures allocated to the account, less any administrative expenses charged to the plan.

- a. **Defined contribution health and welfare plans**—Defined contribution health and welfare plans maintain an individual account for each plan participant. They have terms that specify the means of determining the contributions to participants' accounts, rather than the amount of benefits the participants are to receive. The benefits a plan participant will receive are limited to the amount contributed to the participant's account, investment experience, expenses, and any forfeitures allocated to the participant's account. These plans also include flexible spending arrangements.
- b. **Defined contribution postretirement plan**—A plan that provides postretirement benefits in return for services rendered, provides an individual account for each plan participant, and specifies how contributions to the individual's account are to be determined rather than specifies the amount of benefits the individual is to receive. Under a defined contribution postretirement plan, the benefits a plan participant will receive depend solely on the amount contributed to the plan participant's account, the returns earned on investments of those contributions, and the forfeitures of other plan participants' benefits that may be allocated to that plan participant's account.

Sponsor

In the case of a pension plan established or maintained by a single employer, the employer; in the case of a plan established or maintained by an employee entity, the employee entity; in the case of a plan established or maintained jointly by two or more employers or by one or more employers and one or more employee entities, the association, committee, joint board of trustees, or other group of representatives of the parties that have established or that maintain the pension plan.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

- 962-205-45-1** The financial statements of a defined contribution plan prepared in accordance with generally accepted accounting principles (GAAP) shall be prepared on the accrual basis of accounting and include both of the following:
- A statement of net assets available for benefits of the plan as of the end of the plan year
 - A statement of changes in net assets available for benefits of the plan for the year then ended.

> Net Assets Available for Benefits

- 962-205-45-2** The statement of net assets available for benefits of the plan shall present amounts for all of the following:
- Total assets
 - Total liabilities
 - Subparagraph superseded by Accounting Standards Update No. 2015-12. (Part I).
 - Net assets available for benefits.

- 962-205-45-3** Paragraph superseded by Accounting Standards Update No. 2015-12 (Part I).

> Other Components of Net Assets Available for Benefits

- 962-205-45-4** A plan may have liabilities (other than for benefits) that shall be accrued. Such liabilities may be for amounts owed for securities purchased, refund of excess contributions, income taxes payable by the

plan, or other expenses (for example, third-party administrator fees). These liabilities shall be deducted to arrive at net assets available for benefits.

962-205-45-5 Paragraph superseded by Accounting Standards Update No. 2018-09.

> Changes in Net Assets Available for Benefits

962-205-45-6 The statement of changes in net assets available for benefits shall be prepared on a basis that reflects income credited to participants in the plan and net appreciation or depreciation in the fair value of only those investment contracts that are not deemed to be fully benefit-responsive. Paragraph 962-325-35-5 provides guidance on the accounting for fully benefit-responsive investment contracts.

962-205-45-7 Information about changes in net assets available for benefits is intended to present the effects of significant changes in net assets during the year and shall present, at a minimum, all of the following:

- a. The net appreciation or depreciation in fair value. Net appreciation or depreciation includes realized gains and losses on investments that were both purchased and sold during the period as well as unrealized appreciation or depreciation of the investments held at year end.
- b. Investment income, exclusive of changes in fair value described in (a).
- c. Contributions from employers, segregated between cash and noncash contributions (a noncash contribution shall be recorded at fair value; the nature of noncash contributions shall be described either parenthetically or in a note).
- d. Contributions from participants, including those transmitted by the sponsor.
- e. Contributions from other identified sources (for example, state subsidies or federal grants).
- f. Benefits paid to participants.
- g. Payments to insurance entities to purchase contracts that are excluded from plan assets.
- h. Administrative expenses.

962-205-45-8 The list of minimum disclosures is not intended to limit the amount of detail or the manner of presenting the information, and subclassifications or additional classifications may be useful. Other changes in net assets available for benefits (for example, transfers of assets to or from other plans or proceeds from demutualization) shall be presented separately in the financial statements if they are significant.

> Statement of Cash Flows

962-205-45-9 Paragraph 230-10-15-4 states that a statement of cash flows is not required to be provided by a defined benefit pension plan that presents financial information in accordance with this Subtopic. That paragraph also states that other employee benefit plans that present financial information similar to that required by Topic 960 (including the presentation of plan investments at fair value) are not required to provide a statement of cash flows. That paragraph also states that employee benefit plans are encouraged to include a statement of cash flows with their annual financial statements if that statement would provide relevant information about the ability of the plan to meet future obligations (for example, if the plan invests in assets that are not highly liquid or obtains financing for investments).

> Interests in Master Trusts

962-205-45-10 For each master trust in which a plan holds an interest, a plan shall present that interest and the change in that interest in separate line items in the statement of net assets available for benefits and

in the statement of changes in net assets available for benefits, respectively. See Section 962-325-50 for master trust disclosures.

50 Disclosure

- ① **General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

962-205-50-1

The financial statements shall disclose, if applicable, all of the following:

- a. A brief, general description of the plan agreement including, but not limited to, vesting and allocation provisions and the disposition of forfeitures. If a plan agreement or a description providing this information is otherwise published and made available, this description may be omitted from the financial statements provided that reference to the other source is made.
- b. A description of significant plan amendments adopted during the period, and the effects of such amendments on net assets if significant either individually or in the aggregate.
- c. The amount of unallocated assets, as well as the basis used to allocate asset values to participants' accounts if that basis differs from the one used to record assets in the financial statements.
- d. The basis for determining contributions by employers and, for a contributory plan, the method of determining participants' contributions. Plans subject to the minimum funding requirements of the Employee Retirement Income Security Act, such as money purchase pension plans, shall disclose whether those requirements have been met. If a minimum funding waiver has been granted by the Internal Revenue Service (IRS), or if a request for waiver is pending before the IRS, that fact shall be disclosed.
- e. If significant costs of plan administration are being absorbed by the employers, that fact shall be disclosed in the notes to financial statements.
- f. The policy regarding the purchase of contracts with insurance entities that are excluded from plan assets.
- g. The federal income tax status of the plan if a favorable determination letter has not been obtained or maintained. Note that reports filed in accordance with the requirements of the Employee Retirement Income Security Act must include disclosure of information concerning whether a tax ruling or determination letter has been obtained, which is more than is required by Topic 960.
- h. Guarantees by others of debt of the plan.
- i. Amounts allocated to accounts of persons who have elected to withdraw from the plan but have not yet been paid. These amounts shall not be reported as a liability on the statement of net assets available for benefits in financial statements prepared in conformity with generally accepted accounting principles (GAAP). A note to financial statements to reconcile the audited financial statements to Form 5500 may be necessary to comply with the Employee Retirement Income Security Act.
- j. The amount and disposition of forfeited nonvested accounts. Specifically, identification of those amounts that are used to reduce future employer contributions, expenses, or reallocated to

participant's accounts, in accordance with plan documents.

S00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

962-205-S00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	962-205-S99-1	Amended	Accounting Standards Update No. 2019-07	07/26/2019

S15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Entities

962-205-S15-1	See paragraph 962-205-S99-1, Regulation S-X Rule 6A-01, for entities to which Rules 6A-01 through 6A-05 apply.
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S20 Glossary

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Valuation of Assets

See paragraph 962-205-S99-1, Regulation S-X Rule 6A-02(d), for the definition of the term value as used in that Rule.

S45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Format

962-205-S45-1 See paragraph 962-205-S99-1, Regulation S-X Rule 6A-03, for presentation requirements for statements of financial condition.

962-205-S45-2 See paragraph 962-205-S99-1, Regulation S-X Rule 6A-04, for presentation requirements for statements of income and changes in plan equity.

S50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Valuation of Assets

962-205-S50-1 See paragraph 962-205-S99-1, Regulation S-X Rule 6A-02, for disclosure requirements for employee stock purchase, savings, and other plans within the scope of Rule 6A-01.

> Schedules

962-205-S50-2 See paragraph 962-205-S99-1, Regulation S-X Rule 6A-05, for schedules required to be filed for entities within the scope of Rule 6A-01.

S99 SEC Materials

i General Note: As more fully described in *About the Codification*, the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Regulation S-X

· · > Regulation S-X Rule 6A, Employee Stock Purchase, Savings and Similar Plans

962-205-S99-1 The following is the text of Regulation S-X Rule 6A, Employee Stock Purchase, Savings and Similar Plans (17 CFR 210.6A-01 through 17 CFR 210.6A-05).

Rule 6A-01. Application of Rules 6A-01 to 6A-05 (17 CFR 210.6A-01).

Application of §§ 210.6A-01 to 210.6A-05

(a) Sections 210.6A-01 to 210.6A-05 shall be applicable to financial statements filed for employee stock purchase, savings and similar plans.

(b) [Reserved]

[47 FR 56843, Dec. 21, 1982]

Rule 6A-02. Special Rules Applicable to Employee Stock Purchase, Savings and Similar Plans (17 CFR 210.6A-02).

The financial statements filed for persons to which this article is applicable shall be prepared in accordance with the following special rules in addition to the general rules in §§ 210.1-01 to 210.4-10. Where the requirements of a special rule differ from those prescribed in a general rule, the requirements of the special rule shall be met.

(a) Investment programs.

If the participating employees have an option as to the manner in which their deposits and contributions may be invested, a description of each investment program shall be given in a footnote or otherwise. The number of employees under each investment program shall be stated.

(b) Net asset value per unit.

Where appropriate, the number of units and the net asset value per unit shall be given by footnote or otherwise.

(c) Federal income taxes.

(1) If the plan is not subject to Federal income taxes, a note shall so state indicating briefly the principal assumptions on which the plan relied in not making provision for such taxes.

(2) State the Federal income tax status of the employee with respect to the plan.

(d) Valuation of assets.

The statement of financial condition shall reflect all investments at value, showing cost parenthetically. For purposes of this rule, the term *value* shall mean (1) market value for those securities having readily available market quotations and (2) fair value as determined in good faith by the trustee(s) for the plan (or by the person or persons who exercise similar responsibilities) with respect to other securities and assets.

[47 FR 56843, Dec. 21, 1982]

Rule 6A-03. Statements of Financial Condition (17 CFR 210.6A-03).

Statements of financial condition filed under this rule shall comply with the following provisions:

PLAN ASSETS

1. Investments in securities of participating employers. State separately each class of securities of the participating employer or employers.

2. Investments in securities of unaffiliated issuers.

(a) United States Government bonds and other obligations. Include only direct obligations of the United States Government.

(b) Other securities. State separately (1) marketable securities and (2) other securities.

3. Investments. Other than securities. State separately each major class.

4. Dividends and interest receivable.

5. Cash.

6. Other assets. State separately (a) total of amounts due from participating employers or any of their directors, officers and principal holders of equity securities; (b) total of amounts due from trustees or managers of the plan; and (c) any other significant amounts.

LIABILITIES AND PLAN EQUITY

7. Liabilities. State separately (a) total of amounts payable to participating employers; (b) total of amounts payable to participating employees; and (c) any other significant amounts.

8. Reserves and other credits. State separately each significant item and describe each such item by using an appropriate caption or by a footnote referred to in the caption.

9. Plan equity at close of period.

[27 FR 78710, Aug. 9, 1962. Redesignated at 47 FR 56843, Dec. 21, 1982]

Rule 6A-04. Statements of Comprehensive Income and Changes in Plan Equity (17 CFR 210.6A-04).

Statements of comprehensive income and changes in plan equity filed under this rule shall comply with the following provisions:

1. Net investment income.

(a) Income. State separately income from (1) cash dividends, (2) interest, and (3) other sources. Income from investments in or indebtedness of participating employers shall be segregated under the appropriate subcaption.

(b) Expenses. State separately any significant amounts.

(c) Net investment income.

2. Realized gain or loss on investments.

(a) State separately the net of gains or losses arising from transactions in (1) investments in securities of the participating employer or employers; (2) other investments in securities; and (3) other investments.

(b) State in a footnote or otherwise for each category of investment in paragraph (a) above the aggregate cost, the aggregate proceeds and the net gain or loss. State the principle followed in determining the cost of securities sold, e.g., *average cost* or *first-in, first-out*.

3. Unrealized appreciation or depreciation of investments.

(a) State the amount of increase or decrease in unrealized appreciation or depreciation of investments during the period.

(b) State in a footnote or otherwise the amount of unrealized appreciation or depreciation of investments at the beginning of the period of report, at the end of the period of report, and the increase or decrease during the period.

4. Contributions and deposits.

(a) State separately (1) total of amounts deposited by participating employees, and (2) total of amounts contributed by the participating employer or employers.

(b) If employees of more than one employer participate in the plan, state in tabular form in a footnote or otherwise the amount contributed by each employer and the deposits of the employees of each such employer.

5. Withdrawals, lapses and forfeitures. State separately (a) balances of employees' accounts withdrawn, lapsed or forfeited during the period; (b) amounts disbursed in settlement of such

accounts; and (c) disposition of balances remaining after settlement specified in (b).

6. Plan equity at beginning of period.

7. Plan equity at end of period.

[27 FR 7870, Aug. 9, 1962. Redesignated at 47 FR 56843, Dec. 21, 1982; 83 FR 50203, Oct. 4, 2018]

Rule 6A-05. What Schedules Are to be Filed (17 CFR 210.6A-05).

(a) Schedule I of this section shall be filed as of the most recent audited statement of financial condition and any subsequent unaudited statement of financial condition being filed. Schedule II of this section shall be filed as of the date of each statement of financial condition being filed. Schedule III of this section shall be filed for each period for which a statement of comprehensive income and changes in plan equity is filed. All schedules shall be audited if the related statements are audited.

Schedule I—Investments. A schedule substantially in form prescribed by § 210.12-12 shall be filed in support of captions 1, 2 and 3 of each statement of financial condition unless substantially all of the information is given in the statement of financial condition by footnote or otherwise.

Schedule II—Allocation of plan assets and liabilities to investment program. If the plan provides for separate investment programs with separate funds, and if the allocation of assets and liabilities to the several funds is not shown in the statement of financial condition in columnar form or by the submission of separate statements for each fund, a schedule shall be submitted showing the allocation of each caption of each statement of financial condition filed to the applicable fund.

Schedule III—Allocation of plan income and changes in plan equity to investment programs. If the plan provides for separate investment programs with separate funds, and if the allocation of income and changes in plan equity to the several funds is not shown in the statement of comprehensive income and changes in plan equity in columnar form or by the submission of separate statements for each fund, a schedule shall be submitted showing the allocation of each caption of each statement of comprehensive income and changes in plan equity filed to the applicable fund.

(b) [Reserved]

[45 FR 63676, Sept. 25, 1980. Redesignated at 47 FR 56843, Dec. 21, 1982, and amended at 50 FR 25215, June 18, 1985; 83 FR 50203, Oct. 4, 2018]